IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.303

C.P.(CAA)/25(AHM)2023 in C.A.(CAA)/25(AHM)2023

Proceedings under Section 230-232

IN THE MATTER OF:

Nalwa Chrome Pvt Ltd **.....Applicants**
Vrindavan Services Pvt Ltd

Order delivered on: 26/09/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Sameer Kakar, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-Sd- -Sd-

SAMEER KAKAR **SHAMMI KHAN**
MEMBER (TECHNICAL) **MEMBER (JUDICIAL)**

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

C.P.(CAA)/25(AHM)2023
in
C.A.(CAA)/25(AHM)2023

[Petition under Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Amalgamation

of

Nalwa Chrome Private Limited
(Transferor Company)

with

Vrindavan Services Private Limited
(Transferee Company)

and

their respective Shareholders

Order Pronounced on: 26.09.2023

CORAM:
Shammi Khan
Hon'ble-Member (Judicial)

Sameer Kakar
Hon'ble-Member(Technical)

In the matter of:

Nalwa Chrome Private Limited
CIN: U74999GJ1985PTC066836
Having its registered office at
409, Shyamak Complex,
B/H. Kamdhenu Complex,
Nr. Panjara Pole, Polytechnic,
Ahmedabad, Gujarat – 380015

….. Petitioner Transferor Company/ Transferor Company

With

Vrindavan Services Private Limited
CIN:U74920GJ1982PTC066621
Having its registered office at
409, Shyamak Complex,
B/H. Kamdhenu Complex,
Nr. Panjara Pole, Polytechnic,
Ahmedabad, Gujarat – 380015

….. Petitioner Transferee Company/ Transferee Company

Appearance:
Ms. Dharmishta Raval, Advocate for the Petitioner Companies.

O R D E R

1. This Company Petition has been filed by the Petitioner Companies under Sections 230-232 of the Companies Act, 2013 (the Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 seeking sanction of the Scheme of Amalgamation of Nalwa Chrome Private Limited (Transferor Company) with Vrindavan

Services Private Limited (Transferee Company) and their respective shareholders (Scheme) with effect from 01.04.2022, being the Appointed Date as mentioned in the Scheme. This Company Petition was e-filed on 31.05.2023 and physical copy thereof was filed on 01.06.2023

2. An Affidavit has been sworn by Mr. Sanjeev Doshi on behalf of the Transferor Company who is the authorized representative, and the same is annexed to the Company Petition. The above-named authorized representative for the Transferor Company has been authorized vide Board Resolution dated 28.02.2023.

3. An Affidavit has been sworn by Mr. Ajay Joshi on behalf of the Transferee Company who is the authorized representative, and the same is annexed to the Company Application. The above-named authorized representative for the Transferor Company has been authorized vide Board Resolution dated 28.02.2023.

4. The petitioner companies had filed a joint Company Application before this Tribunal being CA (CAA) No. 25 of 2023, inter alia, sought dispensation of meetings of the Equity Shareholders of the Transferor and the Transferee Company as well as sought dispensation of meetings of the Preference Shareholders of the Transferee Company. Since there were no Secured and Unsecured Creditors in the applicant companies, meetings of the Secured and Unsecured Creditors were not required.

5. By an order dated 19.05.2023 passed in CA(CAA) 25/NCLT/230-232/AHM/2023, this Tribunal had dispensed with the meetings of the Equity Shareholders of the Transferor and the Transferee Company as well as dispensed with the meeting of the Preference Shareholders of the Transferee Company. This Tribunal further directed the Petitioner Companies to serve Notice of the Scheme in compliance with Section 230 (5) of the Companies Act, 2013 and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations), Rules, 2016, in Form 'CAA-3' along with copy of the Scheme to (i) the Central Government through the Regional Director, North Western Region; (ii) the Registrar of Companies, Gujarat, Ahmedabad; (iii) the Official Liquidator (only for Transferor Company) and (iv) concerned Income-Tax Authority stating that representations, if any, to be made within a period of 30 days from the date of receipt of such notice, and in case no representation is received by the Tribunal within the stipulated period of 30 days, it should be presumed that the authorities have no representation to make on the proposed Scheme. The directions issued by the aforesaid order were duly complied with by the Petitioner Companies and compliance affidavit dated 29.05.2023 was duly filed with this Tribunal on 1.06.2023.

6. The Petitioner Companies had filed second motion petition being CP (CAA) 25 of 2023 before this Tribunal seeking

sanction of the Scheme of Amalgamation which was admitted vide order dated 14.06.2023. Directions were issued to publish notice of hearing of petition in the newspapers, **"Financial Express"** in English and in Gujarati in Ahmedabad Edition and to serve notice of hearing of the petition to the Regional Director, the Registrar of Companies, the Official Liquidator and to the Income Tax Department.

7. The aforesaid directions were complied with and compliance affidavit dated 30.06.2023 has been filed with this Tribunal on 05.07.2023 by the Petitioner Companies.

8. It is submitted that the Statutory Auditors of the Petitioner Companies have certified that the Accounting Treatment of the Scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013. Copies of the certificates issued by the statutory auditor are produced on record.

9. A copy of the Valuation Report dated 25.02.2023 issued by M/s. Rashmi Shah, Registered Valuer, determining the share entitlement ratio for the proposed scheme is placed on record.

10. It is submitted that the petitioner companies are not registered under the Monopolies and Restrictive Trade Practice Act, 1969.

11. Copies of the audited financial statement as on 31.03.2022 and provisional financial statement as on 31.12.2022 of the petitioner companies are placed on record.

12. The Petitioner Companies further submitted that no proceedings / investigations have been instituted or is pending against the Petitioner Companies under Sections 210-217, 219, 220, 223, 224, 225, 226 and 227 of the Act and/or Sections 235-251 of the Companies Act, 1956.

13. It is also submitted that as per the knowledge of the Petitioner Companies no winding-up proceedings are pending against the Petitioner Companies under the Act or the corresponding provisions of the Companies Act, 1956.

14. In response to the notice served upon the Regional Director (RD), North-Western Region, MCA has filed common report dated 30.06.2023, along with the report of Registrar of Companies, Ahmedabad ('RD Representation'). They have sought following directions:

    i. To direct the companies to undertake the compliance of Section 232(3)(i) of the Companies Act, 2013 and to pay fees accordingly.
    ii. The Registrar of Companies has submitted a report dated 15th June, 2023. The Hon'ble Tribunal may therefore be pleased to direct the petitioner companies

to clarify the observations made in that report. The observations are as under:

a) The petitioner companies have to undertake to comply with Section 232(3)(i) of the Companies Act, 2013 and to pay fees, if any, after setting off the fee already paid by Transferor Company on its Authorized Capital.

b) The Petitioner Transferee Company shall be required to comply with the provisions of Section 61 read with Section 64 of the Companies Act, 2013 and be filed requisite e-form under the MCA portal as per the requirement of Section 61 read with Section 64 of the Companies Act, 2013 and Rules made thereunder along with payment of fee/additional fee and necessary stamp fee as applicable.

c) To direct the petitioner companies to preserve its books of accounts, papers and records and shall not dispose of without prior permission of the Central Government as per the provision of the section 239 of the Companies Act, 2013.

d) To direct the petitioner companies to ensure statutory compliance of all applicable laws and also on sanctioning of the scheme, the Transferor Company shall not be absolved from any of its statutory liability, in any manner.

e) Necessary Stamp Duty on the transfer of property/assets, if any, is to be paid to the

respective authorities before implementation of the scheme.

f) To direct the companies to comply with the provisions of Section 232(5) of the Companies Act, 2013 with respect to filing of certified copy of order sanctioning the Scheme with Registrar of Companies within 30 days.

iii. To direct the Petitioner Companies to pay such amount of legal fees/ cost to the Central Government which may be considered appropriate by this Hon'ble Tribunal.

iv. The Regional Director has no other observations / submissions except stated hereinabove, for consideration of Hon'ble NCLT in respect of the proposed Scheme.

15. In response to the representation dated 30.06.2023 by the Regional Director, the Petitioner Companies have filed an affidavit dated 07.07.2023 through their authorized representative Mr. Jayesh Nandwana giving their response to all the observations of the Regional Director and the Registrar of Companies as under:

a. The petitioner companies undertake that the provisions of Section 232(3)(i) of the Companies Act, 2013 in respect of fees payable, if any, after set-off of

the fees already paid by the Petitioner Transferor Company would be complied with, for increase of authorized share capital of the Petitioner Transferee Company on account of the Scheme.

b. Petitioner Companies undertake that such legal fees / cost will be paid to the Central Government as may be considered appropriate by this Hon'ble Tribunal.

c. The Petitioner Transferee Company submits that as per clause 6.4 of the Scheme, upon sanction of the Scheme by the NCLT, the Scheme shall constitute a single window clearance for the compliances of section 61 read with section 64 of the Companies Act, 2013. Further, the present Scheme being approved and consented by all the shareholders of the Petitioner Companies vide consent affidavits, no separate procedure is required to be followed as envisaged by the Section 61 of the Companies Act, 2013. Therefore, as the said requirement has already been complied with by the Petitioner Transferee Company in the Scheme itself and the same being an integral part of the Scheme consented by all the shareholders of the Petitioner Transferee Company, no further directions are required to be issued in this regard. Furthermore, the Petitioner Transferee Company undertakes to file the requisite form along with payment of applicable fee/ stamp fees to the extent applicable and required.

d. The petitioner companies undertake to preserve its books of accounts, papers and records and they shall not be disposed of without prior permission of Central Government as per the provision of section 239 of the Companies Act, 2013.

e. The Petitioner Companies undertake to ensure Statutory compliance of all applicable laws. Further the Petitioner Transferor Company undertakes that on sanctioning of the Scheme, it shall not be absolved from any of its statutory liabilities, in any manner.

f. The Petitioner Transferee Company undertakes that necessary legitimate stamp duty on transfer of property / assets pursuant to the Scheme as and when they statutorily become due for payment will be paid.

g. The Petitioner Companies undertake to comply with the provision of Section 232(5) of the Companies Act, 2013 with respect to filing of certified copy of order sanctioning the Scheme with the Registrar of Companies within 30 days from date of passing order.

16. In response to the notice served upon the Official Liquidator, the Official Liquidator (OL) filed his representation dated 27.06.2023. The OL has sought following directions:

a. To direct the Transferor Company to preserve its books of accounts, papers and records and shall not dispose of them without prior permission of the Central

Government as per the provisions of Section 239 of the Companies Act, 2013.

b. To direct the Transferor Company to ensure statutory compliance of all applicable laws and also on sanctioning of the scheme, the Transferor Company shall not be absolved from any of its statutory liability, in any manner.

c. To direct the Transferee Company to undertake the compliance of section 232(3)(i) of the Companies Act, 2013.

d. To direct the Transferee Company to pay such costs and expenses to the office of the Official Liquidator for the Transferor Company or any such amount as may be considered appropriate by this Hon'ble Bench.

e. To direct the petitioner Companies to lodge a certified copy of the order along with the Scheme, with the concerned Superintendent of Stamps for the purpose of adjudication of stamp duty payable, if any.

f. To direct the Petitioner Companies to comply with the provisions of Section 232(5) of the Companies Act, 2013 with respect to filing of certified copy of order sanctioning the Scheme with Registrar of Companies within 30 days.

17. The petitioner companies have filed affidavit in reply dated 30.06.2023 in response to the representation/observation of the Official Liquidator dated 27.06.2023, through their authorized representative Mr. Jayesh Nandwana giving their

response to all the observations of the Official Liquidator as under:

a. The Transferor Company undertakes to preserve its books of accounts, papers and records and the same shall not be disposed of without the prior permission of Central Government as per the provisions of section 239 of the Companies Act, 2013.
b. The Transferor Company undertakes to ensure statutory compliances of all applicable laws. Further the Petitioner Transferor Company undertakes that on sanctioning of the Scheme, it shall not be absolved from any of its statutory liabilities, in any manner.
c. The Transferor Company undertakes that the provisions of Section 232(3)(i) of the Companies Act, 2013 in respect of fees payable, if any, after set-off of the fees already paid by the Transferor Company, for increase of share capital on account of amalgamation of the Petitioner Companies would be complied with.
d. The Transferor Company undertakes that such legal fees / cost to the office of Official Liquidator would be paid as quantified and directed by this Hon'ble Tribunal.
e. The Petitioner Companies undertake to lodge a certified copy of order along with the Scheme, with the concerned Superintendent of Stamps for the purposes of adjudication of stamp duty payable, if any.
f. The Petitioner Companies undertake to comply with the provisions of section 232(5) of the Companies Act,

2013 with respect to filing of certified copy of the order sanctioning the Scheme with the Registrar of Companies within 30 days from the date of passing of the order by this Hon'ble Tribunal.

18. In pursuance to the notice issued to the Income Tax Department, the Income Tax Department has filed their submission to the Scheme. The Income Tax Department has filed its report dated 12.07.2023 for the Transferor Company (Transferor IT Report) and report dated 09.06.2023 for the Transferee Company (Transferee IT Report). Following are the common observations for the Transferor Company and the Transferee Company:

a) the Scheme should be without prejudice to the rights of the Income Tax Department and the Income-tax Department is free to proceed against the Resultant Company for all its proceedings

b) the Department will be at liberty to initiate the appropriate course of action as per law in case it is found that the scheme ultimately results in tax avoidance or is not in accordance to the provisions of the Income Tax Act

c) the rights of the Income Tax Department should remain intact to take out appropriate proceedings regarding raising of any tax demand against the Resultant Company at any future date and these rights should not be adversely affected in view of the sanction of the Scheme

Further, as regards the Petitioner Transferor Company, it is stated that

a) no assessment proceedings or penalty proceedings are pending and

b) annexed list of demand showing a demand of Rs.1,84,81,920 pertaining to assessment year 2011-2012.

Further, as regards the Petitioner Transferee Company, it is stated that

a) no assessment proceedings are pending;

b) there is a penalty proceeding pending under Section 270A of the Income Tax Act, 1091 pertaining to assessment year 2017-2018 and

c) has annexed list of demand showing a demand of Rs. 4,03,620 (downloaded from the ITBA recovery module) pertaining to assessment year 2017-2018.

19. In response to the representation by the Income Tax Department, it is stated that the Petitioner Companies have filed an affidavit dated 17.07.2023 giving their response to all the observations of the Income Tax Department. The response of the Petitioner Transferor Company in response to the observations in the Transferor IT Report is as under:

i. With reference to the observation in para 4(i) of the Transferor IT Report, the Petitioner Transferor Company submits that Clause 9 of the proposed Scheme provides continuity of the legal proceedings of the Petitioner Transferor Company, if any in the name

of the Petitioner Transferee Company. Further, the Petitioner Transferee Company shall continue to remain in existence post the sanction of the Scheme and accordingly there will be no impact of the Scheme on the pending litigations or proceedings of the Petitioner Transferor Company, if any.

ii. With reference to the observation in para 4(ii), para 4(iii) and 4(iv) of the Transferor IT Report, the Petitioner Transferor Company submits that the approval of this Scheme will not deter the income tax authorities to initiate the appropriate course of action as per the income tax law before the appropriate forum and all issues arising thereunder will be met and decided in accordance with the income tax law. Further, the Petitioner Transferee Company will comply with the income tax provisions in relation to proceedings/ claims under the income tax law and all such proceedings/ claims shall be dealt with in accordance with the applicable law in the ordinary course. Furthermore, the Petitioner Transferee Company undertakes to comply with all the applicable provisions of the Income Tax Act, 1961 and to respond to all issues arising out of the Scheme in accordance with the income tax law.

iii. With reference to the observation in para 4(v) of the Transferor IT Report, the Petitioner Transferor

Company submits that the Transferor IT Report filed by the income tax department is without taking into consideration the factual aspect relating to the demand. The Commissioner of Income Tax (Appeals) ['CIT(A)'] vide its order dated October 16, 2014 ['CIT (A) Order'] had ruled in favor of the Petitioner Transferor Company with respect to the mentioned demand and had deleted the additions made by assessing officer. The income tax authorities had filed an appeal against the CIT(A) Order before the Hon'ble Income Tax Appellate Tribunal ('ITAT'), Mumbai Bench. However, the Hon'ble ITAT vide its order dated March 08, 2017 dismissed the appeal of the income tax authorities and held that "the order passed by the Ld. CIT(A) is well reasoned and based on correct legal position and therefore, no interference is called for in his order. Thus, the same is upheld. Ground raised by the Revenue is dismissed." The income tax authorities have not challenged the order of Hon'ble ITAT and consequently the demand outstanding on the ITBA system stands extinguished.

iv. With reference to the observation in para 5 of the Transferor IT Report, the Petitioner Transferor Company submits that the rights of the income tax department remain intact to initiate appropriate proceedings regarding recovery of any tax in accordance with the income tax law. Further once the Scheme has been sanctioned by the Hon'ble Tribunal,

nothing precludes the income tax department from recovering its legitimate and recoverable outstanding tax dues. The said principles have been stated in the decision dated 25th September 2019 passed by Hon'ble National Company Law Appellate Tribunal, New Delhi in Company Appeal (AT) No. 98 of 2019.

20. The response of the Petitioner Transferee Company in response to the observations in the Transferor IT Report is as under:

    i. With reference to the observation in para 4(i) of the Transferee IT Report, the Petitioner Transferee Company submits that the Petitioner Transferee Company shall continue to remain in existence post the sanction of the Scheme and accordingly there will be no impact of the Scheme on the pending litigations or proceedings, if any.

    ii. With reference to the observation in para 4(ii), para 4(iii) and 4(iv) of the Transferee IT Report, the Petitioner Transferee Company submits that the approval of this scheme will not deter the income tax authorities to initiate the appropriate course of action as per law before the appropriate forum and all issues arising thereunder will be met and decided in accordance with the income tax law. Further, the Petitioner Transferee Company will comply with the income tax provisions in relation to proceedings/ claims under the income tax law and all such

proceedings/ claims shall be dealt with in accordance with the applicable law in the ordinary course. Furthermore, the Petitioner Transferee Company undertakes to comply with all the applicable provisions of the Income Tax Act, 1961 and to respond to all issues arising out of the Scheme in accordance with the income tax law.

iii. With reference to the demand mentioned in para 4(v) of the Transferee IT Report, the Petitioner Transferee Company submits that the Petitioner Transferee Company had filed an appeal on January 20, 2020 before the CIT(A) against the assessment order dated December 26, 2019 passed by the Assistant Commissioner of Income tax under section 143(3) of the Income Tax Act, 1961 for the assessment year 2017-2018. Further, in response to the notice dated October 04, 2021 of the CIT(A) with respect to the said appeal pertaining to the assessment year 2017-2018, the Petitioner Transferee Company submitted its response on October 11, 2021. However, the CIT(A) has not yet passed its order in the said matter.

With reference to the observation in para 4(v) of the Transferee IT Report, the Petitioner Transferee Company further submits that pursuant to the assessment order passed under Section 143(3) of the Income Tax Act, 1961 for the assessment year 2017-2018, the Assistant Commissioner of Income tax had initiated proceedings for levy of penalty under section

270A of the Income Tax Act, 1961. However, the Petitioner Transferee Company filed a letter dated January 15, 2021 requesting to keep the penalty proceedings in abeyance as the Petitioner Transferee Company had filed an appeal against the said assessment order passed under section 143(3) of the Income Tax Act, 1961.

As mentioned above, the Petitioner Transferee Company shall continue to remain in existence post the sanction of the Scheme and accordingly there will be no impact of the Scheme on the pending litigations or proceedings, if any. Furthermore, the Petitioner Transferee Company undertakes to comply with the income tax law in relation to the pending litigations / proceedings and also make necessary payments of legitimate dues, if any as and when the liability to pay such dues materializes.

iv. With reference to the observation in para 5 of the Transferee IT Report, the Petitioner Transferee Company submits that the rights of the income tax department remain intact to initiate appropriate proceedings regarding recovery of any tax in accordance with the income tax law. Further once the Scheme has been sanctioned by the Hon'ble Tribunal, nothing precludes the income tax department from recovering its legitimate and recoverable outstanding tax dues. The said principles have been stated in the decision dated 25th September 2019 passed by Hon'ble

National Company Law Appellate Tribunal, New Delhi in Company Appeal (AT) No. 98 of 2019.

21. During the hearing on 19.07.2023, this Tribunal had directed the RD and OL to give their final reply considering the explanation given by the Petitioner Companies on their observation. The RD and OL filed their no further observation reports on both dated 18.08.2023.

22. It is submitted that the sanction of the proposed Scheme in view of the facts mentioned hereinabove would be in the interest of the Petitioner Companies and its shareholders. The Scheme will not prejudicially affect anyone nor will public interest in any manner be adversely affected.

23. We have heard Ld. Counsel Ms. Dharmishta Raval for the Petitioner Companies and also gone through the records.

24. Supreme Court in ***Miheer H. Mafatal V/s Mafatlal Industries Ltd JT 1996 (8) 205*** while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of Section 391 read with Section 393 of the Companies Act, 1956, observed as under:

"It is commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The

Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromise as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently, the Company Courts jurisdiction to that extent is peripheral and supervisory and not appellate."

In view of the above Supreme Court Judgment, this Tribunal is not supposed to examine the commercial wisdom of the shareholders.

25. On the basis of the above facts and submissions made by the Ld. Counsel and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of Sections 230 and 232 are satisfied by the Petitioner Companies. We are of the considered view that the proposed Scheme of Amalgamation is bonafide and in the interest of the shareholders. In the result, Company Petition No. CP(CAA) No. 25 of 2023 is allowed. The Scheme envisages amalgamation of Nalwa Chrome Private Limited (Transferor Company) with Vrindavan Services Private Limited (Transferee Company). It is declared that the said sanctioned Scheme shall be binding

on the Petitioner Companies and their shareholders, creditors and all concerned under the Scheme.

26. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

27. While approving the Scheme as above, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including income tax, GST, etc. or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law. It is further clarified that Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and sanction of the Scheme given hereunder shall not adversely affect the rights of Income Tax Department on any past, present or future proceedings.

28. In **Company Petition CAA-284/ND/2018** vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation:

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: ***Vodafone Essar Gujarat Limited v. Department of Income Tax*** *(2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."*

29. This Tribunal orders as under:-

(i) The Scheme of Amalgamation as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared that same shall be binding on the Petitioner Companies and their Shareholders and all concerned under the scheme;

(ii) The Transferor Company shall be dissolved without winding up.

(iii) The Transferor Company shall, together with all its properties, rights and powers be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, stand transferred to and vest in the

Transferee Company for all the estate and interest of the Transferor Company. The schedule of property of the Transferor Company is annexed with this Order at "**Annexure-B**".

(iv) All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Transferor Company shall stand transferred to and vested in the Transferee Company, without any further act or deed. The Transferee Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company.

(v) All the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company.

(vi) All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Transferor Company, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually against the Transferee Company.

(vii) All taxes paid or payable by the Transferor Company including existing and future incentives, un-availed credits and exemptions, the benefit of carried forward losses and other statutory benefits, which shall be available to and vest in the Transferee Company. The tax liability of the Transferor Company shall become a liability of the Transferee Company and any proceedings against the Transferor Company shall continue against the Transferee Company.

(viii) All proceedings now pending by or against the Transferor Company, (if any), shall be continued by or against the Transferee Company.

(ix) Upon the Scheme coming into effect and in consideration for the amalgamation of the Transferor Company with the Transferee Company in terms of this Scheme, the Transferee Company shall, without any further application, act, instrument or deed, issue and allot 9% Non-Cumulative Non-Convertible Redeemable Preference Shares at face value, credited as fully paid-up, to the extent indicated below, to the shareholders holding fully paid- up equity shares of the Transferor Company and whose name appear in the register of members of the Transferor Company on the Effective Date or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the Board of Directors of the Transferor Company/the Transferee Company:

4.307 (Four Thousand Three Hundred and Seven) fully paid-up 9% Non- Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- (Rupees Ten) in the Transferee Company for

every 1 (One) fully paid equity share of Rs. 10/- (Rupees Ten) each of the Transferor Company held by the shareholders whose names appear in the register of members on the Effective Date.

(x) All employees in the service of the Transferor Company shall be deemed to have become the employees of the Transferee Company on a date on which the scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not have been interrupted by reasons of the said transfer and on term and conditions no less favourable than those on which they were/are engaged, as on the Effective Date.

(xi) The Petitioner Companies within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the entire Undertaking of the Transferor Company shall stand transferred to the Transferee Company and the Registrar of Companies shall place all documents relating to the Petitioner Companies to the file kept by him in relation to the Transferee Company and the files relating to the said two companies shall be treated accordingly;

(xii) Filing and issuance of drawn up orders are dispensed with. All concerned Authorities to act on copy of this order along with the Scheme authenticated by the Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately;

(xiii) The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme and Schedule of Assets of the Transferor Company attached as Annexure-B with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for adjudication of stamp duty, and pay requisite stamp duty payable, if any, within 60 days from the date of this Order.

(xiv) The Petitioner Companies are further directed to file a copy of this order along with copy of the Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to a physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

(xv) The legal fees and expenses for the office of the Regional Director are quantified at Rs. 10,000/-. The said fees to the Regional Director shall be paid by the Transferee Company.

(xvi) The legal fees and expenses for the office of the Official Liquidator are quantified at Rs. 10,000/-. The said fees to the Official Liquidator shall be paid by the Transferee Company.

(xvii) The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action as per law. Any

sanction of the Scheme of Arrangement under Sections 230-232 of the Income Tax Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

(xviii) Any person aggrieved shall be at liberty to apply to this Tribunal for any directions that may be necessary.

30. The Company Petition CP (CAA) No. 25 of 2023 connected with CA (CAA) No. 25 of 2023 is disposed of, in terms of the above order.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

Sudha-Steno

Annexure F

Annexure-I

SCHEME OF AMALGAMATION

UNDER SECTIONS 230 TO 232 OF THE COMPANIES ACT, 2013 AND

OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

OF

NALWA CHROME PRIVATE LIMITED

("NCPL" OR "THE TRANSFEROR COMPANY")

WITH

VRINDAVAN SERVICES PRIVATE LIMITED

("VSPL" OR "THE TRANSFEREE COMPANY")

AND

THEIR RESPECTIVE SHAREHOLDERS

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(A) PREAMBLE

This Scheme of Amalgamation is presented under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 for amalgamation of Nalwa Chrome Private Limited with Vrindavan Services Private Limited. This Scheme also provides for various other matters consequential or otherwise integrally connected therewith.

(B) RATIONALE FOR THE SCHEME

The Amalgamation of Nalwa Chrome Private Limited with Vrindavan Services Private Limited would have the following benefits:

- Ensuring a streamlined group structure by reducing the number of legal entities in the group;
- Reducing the multiplicity of legal and regulatory compliances required at present;
- Eliminating duplicative communication and coordination efforts across multiple entities; and

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Vrindavan Services Pvt. Ltd.

Nalwa Chrome Pvt. Ltd. Mumbai

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- Rationalizing costs by eliminating multiple record keeping and administrative functions

PARTS OF THE SCHEME:

This Scheme of Amalgamation is divided into the following parts:

PART I	Deals with Definitions, Interpretation and Share Capital;
PART II	Deals with the amalgamation of Nalwa Chrome Private Limited with Vrindavan Services Private Limited;
PART III	Deals with the general terms and conditions applicable to the Scheme.

PART I

DEFINITIONS, INTERPRETATION AND SHARE CAPITAL

I DEFINITIONS

In this Scheme of Amalgamation, unless inconsistent with the subject or context, the following expressions shall have the following meaning:

1.1 **"Act" or "the Act"** means the Companies Act, 2013 and the rules and regulations made thereunder, as the case may be, and shall include any statutory modifications, amendments or re-enactment thereof for the time being in force;

1.2 **"Appointed Date"** means 1st April, 2022 or such other date as may be approved by the National Company Law Tribunal or such other Appropriate Authority;

1.3 **"Appropriate Authority"** means any applicable central, state or local government, legislative body, regulatory, administrative or statutory

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authority, agency or commission or department or public or judicial body or authority, including, but not limited to the Regional Director, the Ministry of Corporate Affairs, the Registrar of Companies and the National Company Law Tribunal;

1.4 **"Board of Directors"** or **"Board"** means the Board of Directors of the Transferor Company or of the Transferee Company as the context may require and shall, unless it be repugnant to the context or otherwise, include a duly constituted committee of directors or any person(s) authorised by the Board of Directors or such committee of directors;

1.5 **"Effective Date"** means the last of the date on which the certified copy of the order of the National Company Law Tribunal, Ahmedabad Bench sanctioning the Scheme is filed by the Transferor Company and the Transferee Company with the Registrar of Companies, Ahmedabad;

1.6 **"National Company Law Tribunal" or "NCLT" or "Tribunal"** means the National Company Law Tribunal, Ahmedabad Bench and/or the National Company Law Appellate Tribunal and any other competent authority as constituted and authorized as per the provisions of the Companies Act, 2013 for approving any scheme of amalgamation, arrangement, compromise or reconstruction of companies under Section 230-232 of the Companies Act, 2013;

1.7 **"NCPL" or "The Transferor Company"** means Nalwa Chrome Private Limited bearing Corporate Identification Number (CIN) U74999GJ1985PTC066836, a Company incorporated under the Companies

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Act, 1956 and having its Registered Office at 409, Shyamak Complex, B/H. Kamdhenu Complex, Nr. Panjara Pole, Polytechnic, Ahmedabad - 380015;

"Scheme" or "the Scheme" or "this Scheme" means this Scheme of Amalgamation in its present form or with any modification(s) made under Clause 15 of this Scheme as approved or directed by the NCLT;

1.9 **"VSPL" or "The Transferee Company"** means Vrindavan Services Private Limited bearing Corporate Identification Number (CIN) U74920GJ1982PTC066621, a Company incorporated under the Companies Act, 1956 and having its Registered Office at 409, Shyamak Complex, B/H. Kamdhenu Complex, Nr. Panjara Pole, Polytechnic, Ahmedabad - 380015;

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act and other applicable laws, rules, regulations, bye laws, as the case may be, including any statutory modification or re-enactment thereof from time to time.

2 DATE OF TAKING EFFECT AND OPERATIVE DATE

2.1 The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the NCLT or made under Clause 15 of this Scheme shall be effective from the Appointed Date but shall become operative from the Effective Date.

2.2 Any references in this Scheme to 'upon the Scheme becoming effective' or 'effectiveness of the Scheme' or 'upon coming into effect of this Scheme' shall mean the Effective Date.

3 SHARE CAPITAL

3.1 The Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company as on 31st March, 2022 is as under:

Particulars	Amount (in Rs.)
Authorized Share Capital	
4,60,000 Equity Shares of Rs.10/- each	46,00,000
Total	**46,00,000**
Issued, Subscribed and Paid-up Share Capital	
10,000 Equity Shares of Rs.10/- each, fully paid up	1,00,000
Total	**1,00,000**

Subsequent to 31st March, 2022, there has been no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferor Company.

5,000 Equity Shares of Rs. 10/- each, fully paid up of the Transferor Company is held by the Transferee Company.

3.2 The Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferee Company as on 31st March, 2022 is as under:

Particulars	Amount (in Rs.)
Authorized Share Capital	
3,65,00,000 Equity Shares of Rs. 10/- each	36,50,00,000
1,35,00,000 2.5% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- each	13,50,00,000
20,00,000 8% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- each	2,00,00,000
Total	**52,00,00,000**

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Issued, Subscribed and Paid-up Share Capital	
3,62,99,402 Equity Shares of Rs. 10/- each, fully paid up	36,29,94,020
87,50,000 2.5% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- each	8,75,00,000
19,90,000 8% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- each	1,99,00,000
Total	**47,03,94,020**

Subsequent to 31st March, 2022, there has been no change in the Authorized, Issued, Subscribed and Paid-up Share Capital of the Transferee Company.

PART II

AMALGAMATION OF NALWA CHROME PRIVATE LIMITED WITH VRINDAVAN SERVICES PRIVATE LIMITED

4 TRANSFER AND VESTING OF UNDERTAKING

4.1 Subject to the provisions of this Scheme as specified hereinafter and with effect from the Appointed Date, the entire business and the undertaking of the Transferor Company including all their properties and assets, (whether movable or immovable, tangible or intangible), leasehold assets and other properties, real, in possession or reversion, present and contingent assets (whether tangible or intangible) of whatsoever nature, all the receivables, advances, deposits etc., and assets of the Transferor Company comprising amongst others all plant and machinery, investments, and business licenses, permits, authorizations, sanctioned limits if any, rights and benefits of all agreements and all other interests, rights and powers of every kind, nature and description whatsoever, privileges, liberties, easements, advantages,

benefits and approvals, advance and other taxes paid to the authorities, brand names, trademarks, copy rights, lease, tenancy rights, statutory permissions, consents and registrations, all rights or titles or interest in properties by virtue of any court decree or order, all records, files, papers, contracts, licenses, power of attorney, lease, tenancy rights, letter of intents, permissions, benefits under income tax, such as credit for advance tax, tax deducted at source, unutilized deposits or credits, minimum alternate tax, tax refunds, credit for service tax, sales tax / value added tax / goods and service tax and / or any other statues, incentives under indirect taxes, if any, and all other rights, title, interest, contracts, consent, approvals or powers of every kind and description, agreements shall, pursuant to the order of NCLT and pursuant to provisions of Sections 230 to 232 of the Act and other applicable provisions of the Act and without further act, instrument or deed, but subject to the charges affecting the same be vested and/or deemed to be vested in Transferee Company on a going concern basis so as to become the assets of the Transferee Company with all rights, title, interest or obligations of the Transferor Company therein.

4.2 In respect of all the movable assets of the Transferor Company and the assets which are otherwise capable of transfer by physical delivery or endorsement and delivery, including cash on hand, shall be so transferred to the Transferee Company and deemed to have been physically handed over by physical delivery or by endorsement and delivery, as the case may be, to the Transferee Company to the end and intent that the property and benefit therein passes to the Transferee Company with effect from the Appointed Date pursuant to such delivery.

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4.3 In respect of any assets of the Transferor Company other than those mentioned in Clause 4.2 above, including actionable claims, sundry debtors, outstanding loans, advances recoverable in cash or kind or value to be received from other authorities and bodies and customers, the Transferor Company may, if so required by the Transferee Company, issue notices in such form as the Transferee Company may deem fit and proper stating that pursuant to the NCLT having sanctioned this Scheme between the Transferor Company and the Transferee Company under Sections 230 to 232 of the Act, the relevant debt, loan, advance or other asset, be paid or made good or held on account of the Transferee Company, as the person entitled thereto, to the end and intent that the right of the Transferor Company to recover or realize the same stands transferred to the Transferee Company and that appropriate entries should be passed in their respective books to record the aforesaid changes.

4.4 With effect from the Appointed Date, any statutory licenses, permissions, approvals, all allocations by the government, quotas or consents to carry on the operations and business of the Transferor Company shall stand vested in or transferred to the Transferee Company without any further act or deed and shall be appropriately mutated by the statutory authorities concerned in favour of the Transferee Company. The benefit of all statutory and regulatory permissions, registrations or other licenses and consents shall vest in and shall be in full force and effect against or in favour of the Transferee Company and may be enforced as fully and effectually as if instead of the Transferor Company, the Transferee Company had been the party thereto or the beneficiary or obligee thereof pursuant to this Scheme.

4.5 With effect from the Appointed Date, all debts issued by the Transferor Company, liabilities, contingent liabilities, duties and obligations of the

Transferor Company, whether provided for or not in the books of accounts of the Transferor Company shall, pursuant to the order of the NCLT or such other competent authority as may be applicable under Section 230 and other applicable provisions of the Act without any further act or deed, be transferred or deemed to be transferred to and vested in the Transferee Company, so as to become as from the Appointed Date the debts, liabilities, contingent liabilities, duties and obligations of the Transferee Company on the same terms and conditions as were applicable to the Transferor Company.

4.6 The transfer of assets and liabilities pursuant to Clause 4.1 and Clause 4.5 above and the continuance of proceedings by the Transferee Company pursuant to Clause 9 shall not affect any transaction or proceedings already concluded by the Transferor Company on or before the Appointed Date or after the Appointed Date till the Effective Date to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company in regard thereto, as if done and executed by the Transferee Company on behalf of itself.

4.7 Where any of the debt, liabilities, duties and obligations of the Transferor Company as on the Appointed Date, deemed to be transferred to the Transferee Company have been discharged by the Transferor Company, as the case may be, after the Appointed Date and prior to the Effective Date, such discharge shall be deemed to have been for and on account of the Transferee Company.

4.8 With effect from the Appointed Date, all debts, liabilities, contingent liabilities, duties and obligations of the Transferor Company, whether provided for or not in the books of accounts of the Transferor Company, and

all other liabilities which may accrue or arise after the Appointed Date but which relates to the period on or up to the Appointed Date shall, pursuant to the order of the NCLT or such other competent authority as may be applicable under Section 230 and other applicable provisions of the Act without any further act or deed, be transferred or deemed to be transferred to and vested in the Transferee Company, so as to become as from the Appointed Date the debts, liabilities, contingent liabilities, duties and obligations of the Transferee Company on the same terms and conditions as were applicable to the Transferor Company.

4.9 All the existing securities, mortgages, charges, encumbrances or liens, if any, as on the Appointed Date and those created by the Transferor Company over the assets of the Transferor Company after the Appointed Date and subsisting as on the Effective Date shall, after the Effective Date, continue to relate and attach to such assets or any part thereof to which they are related or attached prior to the Effective Date. Such securities, mortgages, charges, encumbrances or liens shall not relate or attach or extend to any of the other assets of the Transferee Company.

Provided always that the Scheme shall not operate to enlarge the security for any loan, deposit or facility availed of by the Transferor Company, if any, and the Transferee Company shall not be obliged to create any further or additional security thereof after the Effective Date or otherwise.

4.10 Without prejudice to the provisions of the foregoing Clauses, the Transferor Company and the Transferee Company shall execute all such instruments or documents or do all the acts and deeds as may be required, including the filing of necessary particulars and/or modification(s) of charge, with the Registrar

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of Companies, Mumbai and/ or with the Registrar of Companies, Ahmedabad, if any, to give formal effect to the above provisions, if required.

With effect from the Effective Date until such times the names of the bank accounts of the Transferor Company would be replaced with that of the Transferee Company, the Transferee Company shall be entitled to operate the bank accounts of the respective the Transferor Company in the name of the respective Transferor Company in so far as may be necessary. All cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of the respective Transferor Company after the Effective Date shall be accepted by the bankers of the Transferee Company and credited to the account of the Transferee Company, if presented by the Transferee Company. The Transferee Company shall be allowed to maintain bank accounts in the name of respective Transferor Company for such time as may be determined to be necessary by the Transferee Company for presentation and deposition of cheques and pay orders that have been issued in the name of the respective Transferor Company.

4.12 All tax liabilities / refunds / credits / claims relating thereto under the Income Tax Act, Customs Act, Central Excise Act, Goods and Services Tax, State Sales Tax Laws, Central Sales Tax Act, Service Tax, or other applicable laws / regulations dealing with taxes / duties / levies (hereinafter in this Clause referred to as "Tax Laws") of the Transferor Company to the extent not provided for or covered by tax provision in the financial statements made as on the date immediately preceding the Appointed Date shall be treated as liabilities / refunds / credits / claims of the Transferee Company from the Appointed Date and shall be transferred to the Transferee Company . Any surplus in the provision for taxation/ duties/ levies account including advance

tax and TDS, credit for minimum alternative tax/ service tax, Goods and Service Tax or such other credits as on the date immediately preceding the Appointed Date will also be transferred to and become the advance tax/other tax of the Transferee Company.

4.13 Without prejudice to the generality of the above, all benefits, credits, refunds, exemptions, incentives or concessions under Tax Laws as may be applicable to which the Transferor Company are entitled to in terms of the applicable Tax Laws of the Union and State Governments in India, shall be available to and vest in the Transferee Company.

4.14 The Transferee Company shall be entitled to file / revise its income tax returns, service tax returns, Value Added Tax returns, Central Sales Tax returns, Goods and Service Tax Return, tax deducted at source certificates, tax deducted at source returns and other statutory returns and filings, if required under the Tax Laws, and shall have the right to claim or adjust refunds, advance tax credits, credit for minimum alternate tax / tax deducted at source / foreign taxes withheld/ paid, input tax credits, brought forward losses and unabsorbed depreciation as per the books of accounts and brought forward tax losses etc. of the Transferor Company if any, as may be required consequent to implementation of this Scheme.

4.15 The Transferee Company shall be entitled to avail various benefits under industrial development incentive schemes and policies of the Government, if any that were being availed or were available to the Transferor Company. It is declared that pursuant to this Scheme, all the benefits under such incentive schemes and policies shall stand transferred and vested to the Transferee Company.

5 CONSIDERATION

5.1 Upon the Scheme coming into effect and in consideration for the amalgamation of the Transferor Company with the Transferee Company in terms of this Scheme, the Transferee Company shall, without any further application, act, instrument or deed, issue and allot 9% Non-Cumulative Non-Convertible Redeemable Preference Shares at face value, credited as fully paid-up, to the extent indicated below, to the shareholders holding fully paid-up equity shares of the Transferor Company and whose name appear in the register of members of the Transferor Company on the Effective Date or to such of their respective heirs, executors, administrators or other legal representatives or other successors in title as may be recognized by the Board of Directors of the Transferor Company / the Transferee Company:

4,307 (Four Thousand Three Hundred and Seven) fully paid-up 9% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- (Rupees Ten) in the Transferee Company for every 1 (One) fully paid equity share of Rs. 10/- (Rupees Ten) each of the Transferor Company held by the shareholders whose names appear in the register of members on the Effective Date."

Preference Shares issued pursuant to Clause 5.1 are collectively referred to as New Preference Shares.

5.2 The New Preference Shares to be issued to the shareholders of the Transferor Company as mentioned in Clause 5.1 above shall be subject to the Memorandum and Articles of Association of the Transferee Company. The

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other terms of issue of the New Preference Shares are given in Schedule I to this Scheme.

5.3 The New Preference Shares to be issued to the members of the Transferor Company shall be in multiples of 1 (One) and, in case of any fractional entitlement, the same shall be rounded to the nearest integer.

5.4 Approval of this Scheme by the shareholders of the Transferee Company shall be deemed to be due compliance of the provisions of Section 42, Section 55 and Section 62 of the Companies Act, 2013 and the other relevant and applicable provisions of the Act and/or applicable provisions of any other law for the time being in force, for issue and allotment of the New Preference Shares by the Transferee Company to the shareholders of the Transferor Company, as provided in this Scheme.

5.5 Upon the Scheme becoming effective and upon the amalgamation of the Transferor Company with the Transferee Company in terms of this Scheme, the investment held by the Transferee Company in the equity share capital of the Transferor Company shall, without any further application, act, instrument or deed stand cancelled.

6 COMBINATION OF AUTHORISED SHARE CAPITAL

6.1 Upon the Scheme becoming effective, the Authorized Share Capital of Transferor Company shall stand consolidated and vested in and be merged with the Authorized Share Capital of the Transferee Company without any liability for payment of any additional fees (including fees and charges to the relevant Registrar of Companies) or stamp duty, as such fees and duties in respect of such Authorized Share Capital of Transferor Company have already

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been paid by Transferor Company, the benefit of which stands vested in the Transferee Company pursuant to the Scheme becoming effective in terms hereof.

6.2 Consequent to the Scheme taking effect, the Authorised Share Capital of the Transferee Company as on the Effective Date shall be increased by the Authorised Share Capital of the Transferor Company as under :-

Particulars	**Amount (in Rs.)**
Authorized Share Capital	
3,65,00,000 Equity Shares of Rs. 10/- each	36,50,00,000
1,35,00,000 2.5% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- each	13,50,00,000
20,00,000 8% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- each	2,00,00,000
4,60,000 9% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/- each	46,00,000
Total	**52,46,00,000**

6.3 Clause V of the Memorandum of Association of the Transferee Company shall stand substituted by the following Clause:-

"The Authorised Share Capital of the Company is Rs. 52,46,00,000/- (Rupees Fifty Two Crores and Forty Six Lacs only) divided into 3,65,00,000 (Three Crores Sixty Five Lacs) Equity Shares of Rs. 10/- (Rupees Ten) each, 1,35,00,000 (One Crore Thirty Five Lacs) 2.5% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/-(Rupees Ten) each; 20,00,000 (Twenty Lacs) 8% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/-(Rupees Ten) each and 4,60,000 (Four Lacs

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Sixty Thousand) 9% Non-Cumulative Non-Convertible Redeemable Preference Shares of Rs. 10/-(Rupees Ten) each ."

6.4 This Scheme as proposed, and upon sanction by the NCLT, shall constitute a single window clearance and shall be deemed to be sufficient for the enhancement and increase of the Authorised Share Capital of the Transferee Company by the Authorised Share Capital of the Transferor Company and no further resolution subsequent to the sanction of the Scheme shall be required for increasing the authorized share capital (whether under Section 13, Section 14, Section 61, Section 64 and/or any other applicable provisions of the Act), nor shall any additional fees or stamp duty, be payable on the Memorandum of Association of the Transferee Company.

6.5 The Transferee Company shall, and to the extent required, take all the necessary steps and approvals required to increase its Authorised Share Capital on or before the Effective Date for issuance of the New Preference Shares as per Clause 5.

6.6 In the event of any increase in the Authorised Share Capital of the Transferee Company before the Effective Date, upon sanctioning of the Scheme by the NCLT, such increase shall be given effect to while aggregating the Authorised Share Capital of the Transferor Company with the Authorised Share Capital of the Transferee Company.

7 ACCOUNTING TREATMENT IN THE BOOKS OF THE TRANSFEREE COMPANY

Upon coming into effect of this Scheme and with effect from the Appointed Date, the Transferee Company shall account for the amalgamation in its books

of accounts as per the as per applicable accounting principles prescribed under Section 133 of the Companies Act, 2013, the Accounting Standards ('AS'), inter alia, taking into consideration the AS 14 – 'Accounting for Amalgamations' and any other AS as may be applicable. It would inter alia include the following:

7.1 The amalgamation shall be accounted for in the books of accounts of the Transferee Company according to purchase method under Accounting Standard (AS) 14, 'Accounting for Amalgamations' issued by the Institute of Chartered Accountants of India.

7.2 With effect from the Appointed Date, all the assets and liabilities recorded in the books of the Transferor Company shall be recorded by the Transferee Company on the Appointed Date at their respective book values.

7.3 The inter-company deposits/ inter-company loans and advances/ inter-company investments, if any, in the books of accounts of the Transferee Company and the Transferor Company shall stand cancelled.

7.4 The face value of the New Preference Shares issued by the Transferee Company to the shareholders of the Transferor Company pursuant to Clause 5.1 above shall be credited to the Share Capital Account of the Transferee Company.

7.5 The difference, if any, being excess of book value of assets over liabilities of the Transferor Company transferred to the Transferee Company, after making the adjustment as mentioned in Clause 7.3 and 7.4 above, shall be credited to capital reserve account of the Transferee Company. Further, the

capital reserve shall not be available for the distribution of the dividend. In case of such difference being deficit, it shall be debited to goodwill account of the Transferee Company.

7.6 In case of any differences in accounting policy between the Transferor Company and the Transferee Company, the accounting policies followed by the Transferee Company will prevail and the difference till the Appointed Date will be quantified and adjusted in Capital Reserve of the Transferee Company to ensure that the financial statements of the Transferee Company reflect the financial position on the basis of consistent accounting policy.

8 CONDUCT OF BUSINESS TILL THE EFFECTIVE DATE

8.1 With effect from the Appointed Date and up to and including the Effective Date, the Transferor Company shall carry on and be deemed to have been carrying on its business and activities and shall stand possessed of and hold all of the business for and on account of and for the benefit of and in trust for the Transferee Company. Further, all the profits or income accruing or arising to the Transferor Company or expenditure or losses arising to or incurred by the Transferor Company, with effect from the Appointed Date shall for all purposes and intents be treated and be deemed to be and accrue as the profits or income or expenditure or losses of the Transferee Company, as the case may be.

8.2 With effect from the date of approval of this Scheme by the Board of Directors of the Transferee Company and up to and including the Effective Date:

(a) The Transferor Company shall (i) carry on and be deemed to have carried on its businesses and activities; and (ii) be deemed to have held and stood possessed of and shall hold and stand possessed of its entire

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businesses and undertakings, including assets for and on account of and in trust for the Transferee Company.

(b) The Transferor Company shall carry on its business and activities in the ordinary course of business with reasonable diligence and business prudence and shall not make borrowings or undertake financial commitments either for itself or on behalf of group companies or any third party or sell, transfer, alienate, mortgage, charge, or encumber or otherwise deal with or dispose of its assets, business or undertaking or any part thereof, save and except in the ordinary course of business or with the prior written consent of the Transferee Company.

(c) The Transferee Company shall be entitled to apply to the Central Government and any other Government or statutory authorities/agencies/body concerned as are necessary under any law for such consents, approvals, licenses, registrations and sanctions which the Transferee Company may require to carry on the business of the Transferor Company.

(d) The Transferor Company shall not declare or pay any dividends, whether interim or final, to their respective equity shareholders in respect of the accounting period prior to the Effective Date, except with the prior approval of the Board of Directors of Transferee Company.

9 LEGAL PROCEEDINGS

9.1 If any suit, appeal or other proceeding of whatever nature by or against the Transferor Company is pending, the same shall not abate or be discontinued or in any way be prejudicially affected by reason of or by anything contained in this Scheme, but the said suit, appeal or other proceeding may be continued and enforced by or against the Transferee Company, as the case may be, in the same manner and to the same extent as it would or might have been

continued and enforced by or against the Transferor Company as if this Scheme had not been made.

The Transferee Company undertakes to have all legal or other proceedings initiated by or against the Transferor Company referred to in Clause 9.1 above transferred in its name respectively and to have the same continued, prosecuted and enforced by or against the Transferee Company to the same extent as would or might have been continued and enforced by or against the Transferor Company to the exclusion of the Transferor Company.

10 STAFF & EMPLOYEES

10.1 Upon this Scheme becoming effective, all employees, if any, of the Transferor Company shall be deemed to have become employees of the Transferee Company with effect from the Appointed Date without any break, discontinuance or interruption in their service and on the basis of continuity of service, and the terms and conditions of their employment with the Transferee Company shall not be less favorable than those applicable to them with reference to the Transferor Company on the date on which the Scheme becomes effective.

10.2 It is expressly provided that, upon the Scheme becoming effective, the Provident Fund, Gratuity Fund, Pension Fund, Superannuation Fund or any other Special Fund or Trusts (hereinafter referred to as Fund or Funds) created or existing for the benefitof the employees of the Transferor Company, if any, shall become trusts/funds of the Transferee Company for all purposes whatsoever in relation to the administration or operation of such Fund or Funds or in relation to obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in

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the respective Trust Deeds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Company in relation to such Fund or Funds shall become those of the Transferee Company. It is clarified that the services of the staff and employees of the Transferor Company will be treated as having been continuous for the purpose of the said Fund or Funds.

10.3 It is clarified that save as expressly provided for in this Scheme, the employees of the Transferor Company who become the employees of the Transferee Company by virtue of this Scheme, shall not be entitled to avail of any Schemes and benefits (including employee stock options) that may be applicable and available to any of the other employees of the Transferee Company (including benefits of or under any employee stock option schemes applicable to or covering all or any of the other employees of the Transferee Company), unless otherwise determined by the Transferee Company. The Transferee Company undertakes to continue to abide by any agreement/ settlement, if any, entered into or deemed to have been entered into by the Transferor Company with any employee of the Transferor Company.

11 CONTRACTS, DEEDS, APPROVALS, EXEMPTIONS, ETC.

11.1 On and from the Appointed Date and subject to the other provisions of this Scheme, all contracts, deeds, bonds, insurance, letters of intent, undertakings, arrangements, policies, agreements and other instruments, if any, of whatsoever nature to which the Transferor Company is a party and subsisting or having effect on the Effective Date, shall be in full force and effect against or in favour of the Transferee Company, as the case may be, and may be enforced by or against the Transferee Company as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party thereto.

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11.2 The Transferee Company shall enter into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite arrangements, confirmations or novations, to which the Transferor Company will, if necessary, also be a party in order to give formal effect to the provisions of this Scheme, if so required or if necessary. The Transferee Company shall be deemed to be authorised to execute any such deeds, writings or confirmations on behalf of the Transferor Company and to implement or carry out all formalities required on the part of the Transferor Company to give effect to the provisions of this Scheme.

12 SAVING OF CONCLUDED TRANSACTIONS

The transfer of assets, properties and liabilities under Clause 4 above and the continuance of proceedings by or against the Transferor Company under Clause 9 above shall not affect any transaction or proceedings already concluded by the Transferor Company on and after the Appointed Date till Effective Date to the end and intent that the Transferee Company accepts all acts, deeds and things done and executed by and / or on behalf of the Transferor Company as acts, deeds and things done and executed by and / or on behalf of the Transferee Company.

13 DISSOLUTION OF THE TRANSFEROR COMPANY

On the Scheme becoming effective, the Transferor Company shall stand dissolved without being wound-up.

Vinay Jain Services Pvt. Ltd.

Naiwa Chrome Pvt. Ltd. Mumbai

PART III

GENERAL TERMS AND CONDITIONS

14 APPLICATION

The Transferor Company and the Transferee Company shall make necessary applications before the NCLT for the sanction of this Scheme under Sections 230 to 232 of the Act and other applicable provisions of the Act and for seeking orders for dispensing with or convening, holding and/or conducting of the meetings of the respective shareholders/creditors.

15 MODIFICATIONS / AMENDMENTS TO THE SCHEME

The Transferor Company and the Transferee Company with approval of their respective Board of Directors may consent, from time to time, on behalf of all persons concerned, to any modifications / amendments or additions / deletions to the Scheme which may otherwise be considered necessary, desirable or appropriate by the said Board of Directors to resolve all doubts or difficulties that may arise for carrying out this Scheme and to do and execute all acts, deeds, matters and things necessary for bringing this Scheme into effect or agree to any terms and / or conditions or limitations that the NCLT or any other authorities under law may deem fit to approve of, to direct and / or impose. The aforesaid powers of the Transferor Company and the Transferee Company to give effect to the modification / amendments to the Scheme may be exercised by their respective Board of Directors or any person authorised in that behalf by the concerned Board of Directors subject to approval of the NCLT or any other authorities under the applicable law to such modification / amendments to the Scheme.

Mumbai

16 CONDITIONALITY OF THE SCHEME

This Scheme is conditional upon and subject to the following:

16.1 The Scheme being approved by the requisite majorities in number and value of such classes of persons including the respective shareholders and/or creditors, if required, of the Transferor Company and the Transferee Company, as may be directed by the NCLT or any other Appropriate Authority as may be applicable;

16.2 The requisite sanctions and approvals of any Appropriate Authority, as may be required by law, in respect of the Scheme being obtained;

16.3 Sanctions and orders under the provisions of section 230 read with section 232 of the Act being obtained by the Transferor Company and the Transferee Company from the NCLT; and

16.4 Certified or authenticated copy of the order of the NCLT sanctioning the Scheme, in case of the Transferor Company and the Transferee Company, being filed with the Registrar of Companies, Ahmedabad.

17 EFFECT OF NON-RECEIPT OF APPROVALS

17.1 In the event of any of the said sanctions and approvals referred to in the preceding Clause not being obtained and/ or the Scheme not being sanctioned by the NCLT or such other competent authority and / or the order not being passed as aforesaid before 31st March, 2025 or within such further period or periods as may be agreed upon between the Transferor Company and the Transferee Company by their respective Board of Directors (and which the Board of Directors of the Company are hereby empowered and authorized to agree to and extend the Scheme from time to time without any limitation), the

Scheme shall become null and void, and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any right, liability, or obligations which have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law and each party shall bear and pay its respective costs, charges and expenses in connection with the Scheme unless otherwise mutually agreed.

17.2 Save and except as mentioned in Clause 17.1, in the event of this Scheme failing to take effect or it becoming null and void, no rights and liabilities of whatsoever nature shall accrue to or be incurred inter-se to or by the parties to the Scheme or any of them.

18 COSTS, CHARGES & EXPENSES

All costs, charges, taxes including duties, levies and all other expenses, if any (save as expressly otherwise agreed) arising out of or incurred in carrying out and implementing this Scheme and matters incidental thereto shall be borne by the Transferee Company.

Vrindavan Services Pvt. Ltd. Mumbai

Nalwa Chrome Pvt. Ltd. Mumbai

Schedule I: Terms of issue of 9% Non-Cumulative Non-Convertible Redeemable Preference Shares

Nature of Security	Non-Cumulative Non-Convertible Redeemable Preference Shares
Face Value	Each 9% Non-Cumulative Non-Convertible Redeemable Preference Share will have the face value of INR 10/- (Indian Rupees Ten Only)
Dividend	9% non-cumulative as per the discretion of the Board
Terms of Redemption	Redemption at par - At any time after 3rd anniversary of the date of allotment, as per the option of preference share shareholder or on expiry of the 10th anniversary of the date of allotment. The tenure of redemption can be extended beyond 10th anniversary by another 10 years i.e., up to 20th anniversary at the discretion of the board of directors of the Transferee Company.
Participating in Surplus Fund	9% Non-Cumulative Non-Convertible Redeemable Preference Shares shall not participate in the surplus assets and profits which may retain after the entire capital has been repaid, on winding up of the Transferee Company
Voting rights	9% Non-Cumulative Non-Convertible Redeemable Preference Shareholder shall have a right to vote only on resolutions placed before the Company which directly affect the rights attached to his/its preference shares and, any resolution for the winding up of the Company or for the repayment or reduction of its equity or preference share capital and his/its voting right on a poll shall be in proportion to his/its share in the paid-up preference share capital of the Company

Vrindavan Se... Pvt. Ltd.

Nalwa Chrome Pvt. Ltd. Mumbai

Preferential Rights	Carry a preferential right vis-à-vis equity shares of the Transferee Company with respect to payment of dividend and repayment in case of winding up
Variation in terms	Any variation in the terms of the 9%Non-Cumulative Non-Convertible Redeemable Preference Shares after the date of allotment shall be made in accordance with applicable provisions of the Companies Act, 2013 and rules framed thereunder.

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Certified True Copy

Vinayavan Services Pvt. Ltd. Mumbai

Nalwa Chrome Pvt. Ltd. Mumbai

Annexure - B

NALWA CHROME PRIVATE LIMITED

JSW Centre, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Tel: 022-42861000 Fax: 022-42863000
CIN: U74999GJ1985PTC066836

List of Assets and Liabilities of Nalwa Chrome Private Limited ('the Transferor Company') as on the Appointed Date i.e., April 01, 2022 to be transferred to and vested with Vrindavan Services Private Limited pursuant to the Scheme sanctioned by the Hon'ble National Company Law Tribunal, Ahmedabad Bench.

PART I
Free hold properties of the Transferor Company

Sr. No.	Survey No.	Area in Sq. Mtrs.	Description
	Nil		

PART II
Lease hold properties of the Transferor Company

Sr. No.	Name of the Owner of the Property	Address of Property
	Nil	

PART III
Other stocks, shares, debentures, any other charges in action of the Transferor Company

Sr No.	Particulars	No. of shares	Face Value per share (INR)	Amount (INR in thousands)
1	South West Port Limited	22,58,871	10	22,645.19
	Total			**22,645.19**

Part IV
Other Assets of the Transferor Company

Sr. No.	Particulars	Amount (INR in thousands)
1	Long-term loans & advances	14,117.95
2	Short-term loans & advances	7,950.00
3	Cash and cash equivalents	109.97
	Total	**22,177.92**

Nalwa Chrome Pvt. Ltd. Mumbai

NALWA CHROME PRIVATE LIMITED

JSW Centre, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051
Tel: 022-42861000 Fax: 022-42863000
CIN: U74999GJ1985PTC066836

Part V
Liabilities of the Transferor Company

Sr. No.	Particulars	Amount (INR in thousands)
1	Trade Payables	103.88
4	Other Current Liabilities	7.00
	Total	**110.88**

For Nalwa Chrome Private Limited

Director

DIN: 06675966

Date: 24th August 2023

Nalwa Chrome Pvt. Ltd. Mumbai